CAPITALISM AGAINST ITSELF

Can a System Reform the Forces That Make It Powerful?

A book-length essay on reform, counterpower, capture, and the limits of self-correction

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The Question

Capitalism has survived crises that were supposed to kill it. It survived the nineteenth-century factory, mass poverty beside industrial fortunes, the Great Depression, mass unionization, high taxation, nationalization, decolonization, the welfare state, oil shocks, stagflation, globalization, the financial crisis, digital monopolies, and repeated predictions of its imminent death. It did not survive by remaining the same. The system called capitalism in 2026 is not the capitalism of Manchester in 1840, Wall Street in 1928, or Detroit in 1955.

That fact creates a harder question than the usual argument between defenders and critics. Can capitalism reform itself from inside, or does meaningful reform always come from forces that stand partly against it? If reform succeeds, how far can it go before the resulting order deserves another name? And why do successful reforms so often decay once the emergency that created them is forgotten?

This book uses 'capitalism' in a narrow institutional sense: an economic order in which productive assets are substantially privately owned, firms compete and contract through markets, investment is driven in large part by expected return, and labor is predominantly exchanged for wages. That definition does not imply laissez-faire. Actual capitalist economies contain central banks, public education, social insurance, antitrust rules, labor law, public procurement, state-owned enterprises, subsidies, taxes, industrial policy, and thousands of constraints on contract and property. The argument begins from that untidy reality rather than from ideological cartoons.

The central claim is simple. Systems do not reform because they acquire consciences. They reform when organized counterforces change the cost of refusing reform. Sometimes those counterforces are voters. Sometimes workers. Sometimes competitors threatened by monopoly. Sometimes judges, regulators, professional norms, social movements, military defeat, economic collapse, or frightened elites who prefer concession to rupture. Reform from 'inside' therefore does not mean reform without conflict. It means conflict that changes the rules without destroying the institutional shell in which the conflict occurs.

The second claim is less comfortable. A reform can work so well that it destroys the political memory of why it was needed. Deposit insurance makes bank runs rare, so the terror of bank runs becomes abstract. Labor law can normalize conditions for which earlier workers had to strike, so union power starts to look redundant. Antitrust can preserve competition long enough for monopoly to seem like an old textbook problem. A welfare state can reduce visible destitution so thoroughly that social protection is recast as mere cost. Successful restraints make the restrained danger less visible. That is the reform paradox.

The third claim concerns limits. Some conflicts can be internalized through law, bargaining, taxation, disclosure, competition policy, public options, and institutional redesign. Others are harder because the actor being restrained can exit the jurisdiction, buy influence, change the law, overwhelm the regulator with complexity, or shift the cost onto people who are absent from the transaction. Capitalism is highly adaptive. That is one of its strengths. It is also why any fixed restraint can become obsolete.

This is not a brief for capitalism and not an indictment written to reach a predetermined verdict. It is an inquiry into a more general problem: whether a system can preserve the engine that produces its advantages while building durable institutions that oppose the engine when it produces predation, concentration, instability, or political domination. The same problem appears in states, bureaucracies, religions, universities, parties, and technological platforms. Every durable system eventually faces a version of it.

A note on language

Several words in this book are used without euphemism. 'Exploitation' means a durable arrangement in which one side can capture value because the other side lacks a credible alternative, not merely any unequal outcome. 'Rent extraction' means income secured through control of scarcity, privilege, lock-in, or rule-setting rather than through the creation of corresponding new value. 'Capture' means that an institution formally created to constrain an interest becomes materially dependent on, aligned with, or dominated by that interest. These are analytical terms. Calling every profit exploitation makes the word useless; refusing to use the word when coercive dependence is obvious makes analysis dishonest.

Contents

Part I What It Means for a System to Reform Itself

1 Capitalism Is Not a Moral Agent

2 Reform Usually Arrives Under Pressure

3 The New Deal: Saving a System by Restricting It

4 Labor: Counterpower Inside the Firm

5 Sweden and Germany: Capitalism Has More Than One Constitution

6 Other Systems: Reform Without Revolution

Part II Where Internal Reform Breaks

7 The Competitive Morality Trap

8 When Money Becomes Rule-Making Power

9 Monopoly, Rent, and the End of Competition

10 Mobile Capital, Territorial States

11 Time Horizons and Costs Nobody Owns

12 Capture, Drift, and Reform by Erosion

Part III The Reform Paradox

13 Why Success Makes Restraint Look Unnecessary

14 How Far Can Reform Go Before the System Changes Name?

15 What a Self-Limiting Capitalism Would Require

16 A Test for Reformability

Conclusion Every Durable System Needs Organized Opposition

Evidence Selected Sources and Further Reading

PART I

What It Means for a System to Reform Itself

The first mistake is to imagine that reform means benevolence. It usually means organized resistance, institutional learning, and a choice between concession and breakdown.

CHAPTER 1

Capitalism Is Not a Moral Agent

A market can coordinate prices. It cannot decide what is enough.

Arguments about capitalism often begin in the wrong place. One side attributes intention to a system and says capitalism is greedy. The other replies that voluntary exchange is not greed and that markets merely coordinate choices. Both positions miss the institutional point. Capitalism does not want anything. A corporation can have objectives. An investor can have preferences. A market has neither conscience nor shame. It is a mechanism that rewards some actions more than others.

That distinction matters because moral language can hide causal structure. If a firm can reduce cost by polluting a river while the cost is paid by people outside the contract, competitive pressure gives the firm a reason to externalize the damage. If the law makes pollution expensive, the same competitive mechanism gives it a reason to reduce pollution. Nothing mystical happened to the morality of capital. The payoff structure changed. The same applies to child labor, product safety, wage theft, collusion, financial risk, privacy, and dozens of other conflicts in which the private price of an action can differ from its social cost.

The strongest case for capitalism is not that private actors are virtuous. It is that dispersed ownership, price signals, profit and loss, entry, exit, experimentation, and the possibility of failure can organize enormous amounts of information without a central planner. The strongest criticism is not that profit is evil. It is that the same mechanisms can reward strategies that are privately rational and collectively destructive when power, information, bargaining position, or external effects are asymmetric.

A serious reform theory therefore asks a technical question: which valuable functions depend on a given incentive, and which abuses are merely bundled with it because the legal system has allowed them to be? Competition does not require fraud. Entrepreneurship does not require monopoly. Investment does not require unlimited political influence. Private property does not require the absence of taxation. A labor market does not logically require that workers bargain as isolated individuals. Once these distinctions are made, the ideological fog begins to clear.

The system is already designed

Another useful correction is to stop speaking as if regulation were an alien layer placed on top of a natural market. Markets are constituted by rules. A share exists because company law defines it. A mortgage exists because property and contract law define it. Bankruptcy is a legal technology for distributing losses. Limited liability is a public rule that changes private risk. Patents are state-enforced temporary monopolies. Central banks shape the monetary environment in which private contracts are written. There is no meaningful modern capitalism without an institutional architecture.

The relevant distinction is therefore not 'market versus rules'. It is one set of rules versus another. The rules determine who may own what, what can be traded, what information must be disclosed, how losses are allocated, how contracts are enforced, when corporations die, when they merge, what they owe workers, and what they may do with customers' data. A society that changes those rules has not necessarily abandoned capitalism. It has changed capitalism's constitution.

This is why the book's core question is not whether capitalism can become nice. It is whether its institutional constitution can repeatedly be rewritten without destroying the decentralized experimentation and investment that give the system much of its productive capacity. The history of advanced economies says yes, sometimes. The same history also says that the restraints are never final.

CHAPTER 2

Reform Usually Arrives Under Pressure

The polite story is learning. The historical story is usually fear, organization, and leverage.

Deep reforms are often remembered as acts of enlightened statesmanship. That memory is flattering and incomplete. Elites do sometimes learn. Administrators do discover better rules. Business leaders sometimes support restraints that stabilize markets or protect them from worse alternatives. But major reforms usually become politically possible only after the cost of doing nothing rises.

Britain's nineteenth-century parliamentary reforms illustrate the pattern. The Reform Act of 1832 did not emerge from a tranquil seminar on constitutional optimization. It followed long institutional changes, popular mobilization, elite division, and a credible fear that refusing reform could produce greater instability. Later expansions of the franchise changed the political coalition able to demand education, labor protections, and social insurance. Research on British democratization treats these episodes not as one clean revolution but as sequences in which incremental changes altered the balance of power and made further changes possible.

The same logic appears in labor relations. Employers did not collectively discover collective bargaining because it was morally elegant. Workers organized because individual bargaining often left them weak. Employers accepted bargaining in some sectors because the alternative could be strikes, turnover, political intervention, or disorder. States entered because recurring conflict imposed wider costs. Institutions arose from conflict and then made conflict less destructive.

This is the first hard rule of internal reform: a system rarely limits a profitable abuse merely because the abuse has been described accurately. Someone needs leverage. Leverage can be economic, electoral, legal, reputational, organizational, or physical. The crucial variable is not moral clarity but the ability of an affected group to make the status quo more expensive than change.

Inside and outside are not clean categories

Calling such change 'internal' can be misleading. Workers challenging employers are inside the economy but against management. Regulators are inside the state but can be hostile to incumbents. Entrepreneurs attacking monopoly are capitalists fighting other capitalists. Voters can defend private property while demanding taxes on property income. Judges can enforce contracts and invalidate other contractual practices. Reform is usually produced by actors who belong to the system and contest its current distribution of power.

That matters because it undermines a common myth on both sides. Defenders sometimes imply that reform proves the system self-corrects automatically. Critics sometimes imply that every correction is external to capitalism and therefore irrelevant to its adaptability. Both claims define the system so conveniently that they cannot be tested. A better approach treats capitalist orders as mixed institutional ecosystems. Their ability to reform depends on whether countervailing organizations can survive long enough to change rules.

Reform, then, is not evidence of harmony. It is evidence that conflict can be metabolized. The real question is what happens to the counterforces after the compromise has been institutionalized. If they disappear, the settlement may eventually disappear with them.

CHAPTER 3

The New Deal: Saving a System by Restricting It

The United States did not abolish capitalism in the 1930s. It made parts of capitalism illegal.

The American crisis of the early 1930s is a clean test of the argument because the institutional changes were explicit. Thousands of bank failures, mass unemployment, collapsing output, foreclosures, and political anger created conditions in which the old arrangements could not simply be defended as normal. The response did not replace private ownership with central planning. It altered the boundaries of permissible private action.

Banking changed first and visibly. The Banking Act of 1933 created federal deposit insurance and separated commercial banking from investment banking functions. Securities regulation expanded. The purpose was not to make bankers nicer. It was to change incentives, contain panic, impose disclosure, and reduce forms of risk that could be pushed onto the public. The Federal Deposit Insurance Corporation's own institutional history records both the emergency bank measures and the creation of deposit insurance in 1933. Later legislation made the FDIC permanent.

Labor law changed the bargaining structure. The National Labor Relations Act of 1935 protected employees' right to organize and required covered employers to bargain with unions chosen by a majority of workers in an appropriate unit. The National Labor Relations Board was created as an enforcement institution, not a charity. The Fair Labor Standards Act of 1938 then established a federal minimum wage for covered workers, limited the standard workweek, and restricted oppressive child labor. Each law removed transactions and practices from the category of 'whatever the parties agree'.

Social insurance changed the definition of economic citizenship. The Social Security Act created federal old-age benefits and a wider architecture of income protection. Again, the key point is institutional. A portion of life risk was moved out of purely private bargaining and family charity into a compulsory public system.

What exactly was saved?

The phrase 'saving capitalism' is often used too casually. The New Deal did not save every capitalist, every bank, every contract, or every property claim. It preserved a private-enterprise order by allowing the state to invalidate some practices, redistribute some risks, strengthen labor, supervise finance, and create new entitlements. The system survived precisely because the reformers did not treat the existing rights of every incumbent as synonymous with the survival of capitalism itself.

This distinction is crucial. A system can preserve its deep grammar while sacrificing institutions that had previously been defended as essential. The separation of commercial and investment banking was later substantially removed by the Gramm-Leach-Bliley Act of 1999. Labor law was modified by the Taft-Hartley Act in 1947. Minimum-wage coverage and rates changed repeatedly. Reform was not a permanent constitutional moment. It became another field of political struggle.

The economic record is not reducible to one cause. The wage compression of the 1940s and mid-century period had multiple drivers, including wartime controls, labor institutions, macroeconomic conditions, education, and policy. Goldin and Margo famously documented the 'Great Compression' in the U.S. wage structure. The important point for this book is narrower: a capitalist economy tolerated, and for a time operated under, substantially stronger wage compression and organized labor than later periods. That fact alone disproves the idea that one specific distribution of bargaining power is inherent to capitalism.

The New Deal therefore answers the initial question with a qualified yes. Capitalism can be reformed from within a constitutional order. But the mechanism was not spontaneous market correction. It was political conflict under crisis conditions, followed by law.

CHAPTER 4

Labor: Counterpower Inside the Firm

If one side can walk away and the other cannot, a contract can be legal and still reflect power.

Labor is where abstractions about free exchange collide with dependence. A worker and an employer can both sign a contract voluntarily while possessing radically different exit options. The worker may need income next week. A large employer may be able to wait, automate, relocate, or choose among many applicants. The existence of consent does not tell us the bargaining power behind the consent.

This is why the nineteenth- and twentieth-century labor question was not merely about wages. It concerned whether workers would bargain one by one or as organizations. The Wagner Act in the United States, sectoral bargaining in parts of Europe, works councils, codetermination, employer associations, and other arrangements all altered the unit of negotiation. They did not abolish firms. They changed who could credibly say no inside them.

The OECD's long-run data show that union density and collective-bargaining coverage have declined in many member countries since the 1980s, with large differences across institutional systems. Coverage remains high where bargaining occurs across sectors or multiple employers, while firm-level bargaining systems tend to track union membership more closely. This variation matters because it demonstrates that worker voice is not simply a cultural attitude. It is an institutional technology.

The hard question is not whether unions are good. Unions can protect insiders, resist technological change, defend incompetent practices, become corrupt, or impose costs on outsiders. Employer power can likewise produce monopsony, wage suppression, unsafe work, arbitrary dismissal, and political resistance to worker organization. A mature system treats both as organized interests that require constraints. Counterpower is not sanctity.

Why individual virtue is insufficient

Suppose one employer voluntarily raises standards in a market where customers buy mainly on price and competitors do not follow. The better employer may bear a cost that rivals avoid. If the cost is large enough, the responsible firm can lose market share or fail. This is the competitive morality trap: behavior that is desirable in aggregate can be punished when adopted unilaterally.

The obvious institutional response is to change the baseline for everyone. A safety rule, minimum wage, bargaining standard, mandatory insurance contribution, or disclosure obligation can remove some dimensions from competition. Firms remain free to compete, but not by driving below the agreed floor. That is not a bug in competitive markets. It is often the only way to stop competition from selecting against restraint.

Labor history therefore offers a general lesson. Reform becomes durable when moral demands are converted into institutions that alter bargaining power or minimum rules. A corporate code of conduct can disappear with a chief executive. A right written into enforceable law is harder to erase. Harder, not impossible.

CHAPTER 5

Sweden and Germany: Capitalism Has More Than One Constitution

If capitalism were one fixed machine, advanced economies would look much more alike than they do.

Comparative political economy is useful because it destroys the habit of treating the American corporate model as the definition of capitalism. Hall and Soskice's influential 'varieties of capitalism' framework distinguishes liberal market economies from coordinated market economies. The categories are ideal types, not natural laws, but they highlight a basic fact: firms can operate under very different systems of finance, labor relations, training, corporate governance, and inter-firm coordination while remaining recognizably capitalist.

Sweden's postwar Rehn-Meidner model is an unusually clear example. It combined restrictive macroeconomic policy, solidaristic wage bargaining, and active labor-market policy in an effort to pursue high employment, price stability, growth, and equity. The model did not ask every firm to preserve every job. In principle, relatively uniform wage pressure could force low-productivity firms to restructure or exit while active labor policy helped workers move toward more productive employment. The system tried to socialize adjustment rather than freeze the industrial structure.

Germany developed a different architecture. The postwar social market economy combined competition policy, private enterprise, social insurance, collective bargaining, vocational institutions, and forms of employee representation including codetermination. None of these arrangements erased capital ownership. They changed governance around it. German firms could be capitalist without adopting the same shareholder-management relationship or labor-market institutions as U.S. firms.

This matters because debates about reform are often trapped by false necessity. If a specific institution exists in one successful capitalist economy but not another, it cannot honestly be described as a universal requirement of capitalism. At most it is one equilibrium among several. Cross-country variation does not prove that every arrangement transfers easily; institutions are complementary, historical, and path dependent. But it expands the space of the possible.

The price of coordination

Coordinated systems have their own weaknesses. Bargaining can become rigid. Insider organizations can protect established firms and workers. Consensus can slow reallocation. Dense institutions can be difficult for outsiders to enter. Liberal systems can sometimes reallocate capital and labor faster and can support forms of radical innovation that coordinated systems find harder to finance. The point is not that one model wins. The point is that capitalism is a family of constitutions with different trade-offs.

This leads to a sharper version of the book's question. Reform does not require replacing capitalism with an imagined alternative in one leap. It can mean moving within the space of capitalist constitutions. But movement is constrained by institutional complementarities: changing labor law without changing training, finance, housing, or social insurance may produce results very different from copying the visible rule alone.

The practical limit of internal reform is therefore not only ideology. It is coherence. A system can resist change because its institutions fit together, even when individual parts look replaceable.

CHAPTER 6

Other Systems: Reform Without Revolution

Internal reform is not a capitalist monopoly, and survival is not proof that reform worked.

To understand whether capitalism is unusually reformable, it helps to look outside capitalism. Political and economic systems of many kinds have changed from inside. Britain's nineteenth-century constitutional order expanded representation through successive reforms rather than one final rupture. The Ottoman Tanzimat reorganized administration and law through sustained reform from 1839 to 1876. China after 1978 introduced market mechanisms, enterprise autonomy, multiple forms of ownership, and international integration while the Communist Party retained political control. These cases differ radically, but each shows that institutional orders can mutate while preserving core structures.

China is especially instructive because the reform was not a simple conversion from one textbook system to another. Market mechanisms were introduced gradually through experimentation, decentralization, partial liberalization, and later formalization. The resulting economy cannot be understood accurately as either classical central planning or a liberal market economy. Internal reform created a hybrid order with persistent state ownership and political control alongside extensive markets and private enterprise.

The Soviet case demonstrates the opposite danger. Perestroika was intended to revive and transform the Soviet system. Instead, reforms interacted with economic weakness, institutional resistance, national conflicts, political opening, and rising expectations. Scholarship on the period describes a movement from systemic reform toward disintegration. This does not prove that internal reform causes collapse. It proves that reforms can destabilize the complementarities that made the old system function before a new equilibrium is able to replace them.

Three ways reform fails

The comparative cases suggest three distinct failure modes. The first is cosmetic reform: new language, new agencies, and new procedures leave the distribution of power essentially unchanged. The second is blocked reform: incumbents retain enough veto power to prevent adaptation, so the system decays while formal institutions remain. The third is destabilizing reform: change removes an old coordination mechanism faster than an alternative can emerge.

Capitalism is not exempt from any of the three. A competition authority without power can be cosmetic. Tax reform can be blocked by interests that benefit from complexity. Financial deregulation can remove restraints without supplying adequate new risk controls. Labor-market reforms can increase flexibility while social insurance and housing remain too rigid for workers to move. Internal reform succeeds only when the new institutions are strong enough to carry functions previously supplied by the old ones.

The deeper conclusion is general. Systems do not survive because they are pure. They survive because they can absorb contradiction. But absorption has a limit. If reform changes too little, the underlying problem persists. If it changes too much too quickly, the old equilibrium can collapse before a new one exists. Reform is not moderation for its own sake. It is institutional surgery under uncertainty.

PART II

Where Internal Reform Breaks

Adaptability is real. So are structural limits. The most important appear where private power can escape, rewrite, or outlast the institutions meant to constrain it.

CHAPTER 7

The Competitive Morality Trap

A firm can be punished for behaving better than the rules require.

Many proposals for reform fail because they are addressed to the wrong actor. They ask individual firms to solve collective-action problems while leaving the competitive environment unchanged. The request sounds moral and can be economically incoherent.

Consider a company that decides to internalize an environmental cost its competitors can legally externalize. If customers cannot observe the difference or will not pay for it, the company carries a higher cost. Investors see a lower return. Managers face pressure to reverse the policy. A rival buys market share. The virtuous action has become a competitive disadvantage. The same structure can apply to wages, supply-chain conditions, privacy, cybersecurity, product durability, tax planning, and research integrity.

This does not mean voluntary standards are useless. Brands can monetize trust. Skilled workers may prefer responsible employers. Long-term investors may value lower legal risk. Industry associations can coordinate standards. But where the payoff for defection remains large and difficult to observe, voluntary restraint is fragile.

The issue can be stated brutally: a system that relies on competitive selection should not be surprised when traits that reduce competitive fitness disappear. If society wants a trait to persist, it either has to make the trait profitable, subsidize it, make the opposite behavior costly, or remove that dimension from competition. Moral exhortation is a weak substitute for mechanism design.

Why this is an internal limit

The trap is internal because it is generated by one of capitalism's strengths. Competition disciplines firms. It can remove waste and punish complacency. But discipline is indifferent to the social reason a cost exists. A firm that spends more because it trains workers may become more productive later. A firm that spends more because it refuses a legal but harmful shortcut may simply lose. The market signal alone cannot tell the difference.

Reform therefore requires institutions that distinguish productive efficiency from cost shifting. That can be done through liability, standards, disclosure, taxes, common bargaining rules, certification, insurance requirements, or other devices. Each device has error costs. Rules can protect incumbents, become obsolete, or be captured. Yet the absence of a common rule is not neutral when private actors can profit by exporting costs.

The limit is especially severe in global supply chains, where production can move across jurisdictions with different standards. One country's restraint can become another country's comparative advantage. At that point, internal national reform collides with international competition.

CHAPTER 8

When Money Becomes Rule-Making Power

Economic inequality becomes a different problem when wealth can purchase the rules governing wealth.

A capitalist economy can tolerate extreme differences in income and still remain competitive in a narrow market sense. The deeper problem appears when economic resources convert into durable political influence. Then the distribution produced by the market begins to alter the rules of the market itself.

The mechanism is not mysterious. Money funds lobbying, litigation, campaign activity where legal, think tanks, expert networks, media ownership, public relations, trade associations, revolving-door careers, and the ability to wait through long policy processes. None of these mechanisms requires a secret conspiracy. Organized minorities with high stakes can rationally invest more in policy than dispersed majorities for whom each individual rule is only one of many concerns.

Gilens and Page's 2014 study of 1,779 U.S. policy issues found substantial independent associations between policy outcomes and the preferences of economic elites and business interest groups, while average citizens had little or no independent influence after the other preferences in their model were accounted for. The study has generated methodological debate, and it does not establish a universal law about all democracies or all periods. It does, however, make it untenable to treat political influence as evenly distributed by default.

The feedback loop is obvious enough to write in one line: wealth can buy influence; influence can shape rules; rules can protect or enlarge wealth. The existence of this loop does not imply that every wealthy person controls policy or that voters are irrelevant. It means that a self-reforming capitalist democracy needs institutions able to stop economic advantage from becoming unbounded rule-making advantage.

The capture problem

Regulation creates another route. The more technical an industry becomes, the more regulators depend on industry knowledge. The more lucrative the private sector, the harder it is for public agencies to retain specialists. Firms have strong incentives to influence definitions, exemptions, enforcement priorities, and implementation details. Regulation can then become a competition in expertise where the regulated side is better funded than the regulator.

This is not an argument against expertise or consultation. A regulator that does not understand an industry can cause enormous damage. The problem is structural dependence. If the only people capable of explaining the system are employed by the system, public oversight begins with an information disadvantage.

Here lies one of the sharpest limits of internal reform. Reform creates an institution. Incumbents then have years to learn how the institution works, litigate its boundaries, staff its advisory processes, exploit loopholes, and shape future amendments. The reformer has to win repeatedly. The rent-seeker may need to win only in a few obscure places.

CHAPTER 9

Monopoly, Rent, and the End of Competition

Capitalism can generate organizations powerful enough to suspend the competitive discipline used to justify capitalism.

There is an old contradiction at the center of market economies. Competition rewards successful firms. Success can produce scale, data, networks, intellectual property, distribution power, brand dominance, access to capital, or control over standards. Those advantages can then make future competition harder. The competitive process can produce anti-competitive outcomes.

Antitrust law is an explicit admission of this possibility. The Sherman Act of 1890 and later U.S. antitrust statutes were not socialist interruptions of capitalism. They were legal attempts to preserve competition against private concentrations of market power. Modern antitrust doctrine differs across periods and jurisdictions, but the constitutional idea is stable: private ownership does not include an unlimited right to eliminate the market itself.

Recent OECD work reports robust evidence of rising industry concentration over recent decades and finds increasing product-market concentration in Europe between 2012 and 2021, alongside declining business dynamism in the measures studied. Concentration is not automatically monopoly; some markets concentrate because scale genuinely lowers costs or because the best firms expand. The problem begins when scale becomes durable power to raise prices, degrade terms, block entry, acquire nascent rivals, control access, or shift value from dependent suppliers and workers.

Rent is the useful concept here. Profit can reward successful risk, organization, invention, or capital allocation. Rent is income generated by control over a scarce position that others cannot readily contest. The same company can earn both. The policy challenge is difficult precisely because the accounting statement does not label which euro came from innovation and which came from lock-in.

The incumbent can buy time

Large firms have another advantage that is easy to underestimate: time. A start-up can die during a lawsuit. A dominant platform can litigate for years. A small supplier can collapse during a payment dispute. A multinational can maintain specialized tax and regulatory teams permanently. Delay itself becomes a strategic asset.

This changes the meaning of formal equality before rules. Two parties can have the same legal rights but radically different capacity to use them. A rule that takes ten years to enforce may be a strong rule on paper and a weak rule in markets that change in two years.

The internal reform problem therefore becomes dynamic. Competition law cannot merely punish the monopoly of yesterday. It must act in a world where market power can emerge faster than adjudication. That does not justify arbitrary intervention. It does mean that procedural speed is part of substantive effectiveness.

CHAPTER 10

Mobile Capital, Territorial States

The state taxes an address. Capital increasingly chooses the address.

The modern state remains territorial. Corporate groups, financial assets, intellectual property, digital services, and supply chains are far more mobile. This asymmetry weakens purely national attempts to regulate some forms of capital income and corporate behavior.

The problem has been studied for decades in international tax policy. IMF research has examined how capital mobility and tax competition can constrain national corporate taxation and how profit shifting can move taxable income across jurisdictions. More recent international reforms, including the OECD/G20 process and the global minimum tax architecture, are explicit attempts to reduce the gains available from playing national tax systems against one another.

The point is not that globalization makes taxation impossible. Evidence is more complicated than a simple race-to-the-bottom story, and countries retain substantial fiscal capacity. The point is that exit changes bargaining power. A government regulating a local bakery confronts an actor that cannot easily move the bakery to another legal jurisdiction overnight. A government regulating highly mobile financial assets or intellectual property confronts a different strategic game.

The same applies to labor and environmental standards. If production can be shifted to jurisdictions with lower costs and weaker enforcement, domestic reform can export the activity rather than reform it. Consumers may receive cheaper goods while the underlying practice continues elsewhere. A country can improve its statistics by moving the externality across a border.

The jurisdictional mismatch

This is one of the clearest real limits of internal reform: the scale of governance must roughly match the scale of the activity being governed. When markets are global and counterpower is national, mobile actors can arbitrage rules. When regulation is global but democratic accountability remains national, another problem appears: distant institutions may be harder for citizens to control.

There is no clean solution. International coordination reduces arbitrage but can freeze bad rules or empower technocratic processes. National autonomy preserves experimentation but can intensify competition between jurisdictions. Capital controls reduce some forms of mobility but impose other costs. The relevant conclusion is narrower: reformability depends on the geography of power.

Capitalism can be constrained inside one state more easily when the decisive assets, workers, customers, and tax base remain inside that state. As those elements separate geographically, the old reform instruments lose leverage.

CHAPTER 11

Time Horizons and Costs Nobody Owns

Markets discount the future. Politics often does too. Some problems outlive both.

A firm can rationally reject an investment that produces diffuse benefits thirty years from now if the firm cannot capture those benefits. A voter can rationally prefer a current benefit to a distant one. A government facing an election cycle can postpone a cost. The short horizon is not uniquely capitalist. It is a recurring property of institutions whose decision makers can exit before consequences arrive.

Climate risk is the obvious example, but the structure is much broader. Antibiotic resistance, soil depletion, infrastructure maintenance, basic research, education, cybersecurity, pension promises, and long-tail financial risk all contain intertemporal conflicts. The actor making the decision and the actor paying the eventual cost are partly different populations.

Private ownership can solve some horizon problems because an owner who expects to sell an asset later has an incentive to preserve future value. Long-lived family firms, insurers, pension funds, infrastructure investors, and endowments can have long horizons. But ownership does not solve costs that fall mainly on outsiders, future generations, or commons that nobody can exclude others from using.

The blunt fact is that a price system only prices what institutions make ownable, measurable, enforceable, or scarce in a tradable way. When a cost is invisible to the contract, the absence of a price is not evidence that the cost is zero. It is evidence that the cost is outside the transaction.

The future has weak bargaining power

Future citizens cannot strike. They cannot sue before they exist. They cannot move capital. Their interests must be represented indirectly through institutions created by people alive now. That makes long-horizon reform unusually vulnerable to discounting and political reversal.

A self-reforming system therefore faces a representational problem, not merely an economic one. Who is authorized to speak for future costs, with what evidence, and under what constraints? Too little authority leaves long-term damage unpriced. Too much insulated authority can become technocratic domination without accountability.

This tension has no final institutional solution. It is a design problem that must be reopened repeatedly as knowledge changes. The important limit is to recognize that neither market exchange nor short-cycle politics automatically represents people who are absent from today's bargain.

CHAPTER 12

Capture, Drift, and Reform by Erosion

A law can remain on the books while its effect is quietly reversed.

Political debate focuses on visible repeal because repeal is legible. Institutions often die more quietly. Their budgets are reduced. Their definitions stop being updated. Enforcement slows. Thresholds remain nominal while inflation changes real value. Courts reinterpret scope. New technologies fall outside old categories. Responsibility is fragmented among agencies. The text survives and the function decays.

Historical institutionalism gives useful names to these mechanisms. 'Drift' occurs when rules stay formally stable while the surrounding environment changes, altering their effect. 'Conversion' occurs when existing institutions are redirected toward purposes different from their original design. 'Layering' adds new rules alongside old ones, sometimes changing the practical balance without formal replacement. These mechanisms explain why institutional change can be profound without dramatic legislation.

The U.S. federal minimum wage offers an intuitive example of drift because it is not automatically indexed to inflation. If the nominal number does not change while prices rise, the real floor falls. Nothing has been repealed. The economic content of the rule changes anyway. Hacker, Pierson, and Thelen use precisely this kind of case to explain how non-updating can become a political strategy.

Regulatory capture is related but not identical. Capture concerns whose interests the institution serves. Drift concerns what happens when the institution fails to adapt. A regulator can be honest and still become obsolete. An updated rule can be technically modern and still be captured. Real systems suffer combinations of both.

Why reformers lose after they win

The asymmetry of attention matters. Reform coalitions are often built during crises, when ordinary people pay unusual attention to institutions they normally ignore. After the crisis, attention moves elsewhere. The industries affected by the reform do not lose interest. They have permanent legal departments, associations, compliance teams, and lobbyists whose job is to watch the rule every day.

This does not prove bad faith. An industry can legitimately seek clarification or challenge a harmful rule. The structural point is persistence. Concentrated interests can maintain attention for decades. Diffuse beneficiaries rarely do. Over time, thousands of technical changes can alter a settlement that no election ever explicitly decided to reverse.

Internal reform is therefore not a one-time constitutional act. It is maintenance. Any theory that imagines passing the right law and moving on misunderstands adaptive systems.

PART III

The Reform Paradox

The most dangerous moment for a restraint may arrive after it works. Once the disaster disappears, the restraint begins to look like dead weight.

CHAPTER 13

Why Success Makes Restraint Look Unnecessary

The institution prevents the event; the absence of the event becomes evidence against the institution.

Successful prevention is politically cursed. A bridge that does not collapse produces no dramatic evidence for maintenance. A banking rule that prevents a class of failure leaves no visible pile of failed banks. A vaccine, a safety standard, a fire code, a capital requirement, or a competent audit system is most successful when the catastrophe never becomes a story.

This creates a recurring cognitive error. People compare the visible cost of the institution with a world in which the prevented harm is absent, rather than with the counterfactual world in which the institution did not exist. The institution then looks expensive because its benefit is an event that did not happen.

The political economy compounds the error. The costs of a restraint are often concentrated on actors who know exactly what the rule costs them. The benefits are spread among millions of people who may not even know the rule exists. Those who pay have an incentive to organize against it. Those who benefit have weak incentives to organize for it.

Labor institutions show another version. When collective bargaining has helped normalize weekends, safer conditions, predictable dismissal procedures, or higher wage floors, later workers may experience those conditions as ordinary features of the economy rather than as contested institutional achievements. The organization that helped produce the benefit can then appear less necessary precisely because its earlier work changed the baseline.

The reform paradox

The cycle can be stated simply. Crisis makes harm visible. Visibility enables coalition. Coalition creates restraint. Restraint reduces harm. Reduced harm weakens memory. Weakened memory makes the restraint easier to attack. Erosion recreates vulnerability. A new crisis restores memory.

This cycle is not inevitable, and not every historical episode fits it. It is a mechanism to look for. It helps explain why mature institutional settlements can oscillate rather than converge toward a final optimum.

The implication is uncomfortable for anyone looking for a permanent reform. Durable restraint requires institutions that do not depend entirely on public memory of the last catastrophe. Automatic updating, independent measurement, transparent stress tests, adversarial review, sunset provisions paired with evidence requirements, and distributed watchdogs are all attempts to make maintenance less dependent on collective fear. Each has costs and can itself become ritualized. But the design problem is real.

A society that forgets why a guardrail exists will eventually ask why it is paying for the guardrail. Sometimes the answer is that the road has changed and the guardrail should move. Sometimes the answer is that the guardrail is the reason fewer cars are at the bottom of the cliff.

CHAPTER 14

How Far Can Reform Go Before the System Changes Name?

A label becomes useless if every institutional change is declared either impossible or revolutionary.

The border between a reformed system and a new system is not a bright line. Capitalist economies already contain public pensions, universal or near-universal health systems in many countries, compulsory schooling, central banks, progressive taxation, public infrastructure, labor standards, bankruptcy courts, deposit insurance, and state ownership in selected sectors. None of these alone resolves the classification problem.

A more useful approach is to identify the mechanisms that remain central. Are most productive decisions made by firms rather than administrative plans? Is private ownership of productive assets extensive? Are prices and markets major allocation mechanisms? Can firms enter and fail? Is investment substantially motivated by expected private return? If the answers remain largely yes, the order is recognizably capitalist even if redistribution and regulation are extensive.

This is why the phrase 'mixed economy' is often more descriptive than ideological labels suggest. The relevant question is not how many government programs exist. It is which allocation and governance mechanisms dominate which domains.

The boundary matters because reform debates often use labels strategically. A defender can call any constraint 'socialism' in order to place it outside legitimate debate. A critic can call any social program proof that capitalism has already been transcended. Both maneuvers prevent analysis. The actual institutional question is whether the reform preserves decentralized private investment and market allocation while changing bargaining power, risk distribution, or the permissible uses of property.

Three thresholds

There are at least three thresholds at which the label becomes genuinely contested. The first is ownership: if the state or collective bodies own most productive assets, the conventional meaning of capitalism becomes strained. The second is allocation: if administrative plans rather than markets determine most production and investment, the system has changed at a deeper level. The third is residual control: if private owners hold nominal title but cannot make meaningful decisions about investment, sale, hiring, output, or surplus, ownership may be formal rather than substantive.

Between laissez-faire and full administrative control lies an enormous institutional space. The twentieth century explored only part of it. Contemporary technology may expand it further through digital taxation, algorithmic auditing, portable benefits, programmable compliance, public digital infrastructure, data trusts, new ownership forms, and real-time competition monitoring. None of these tools answers the normative question of where the boundary should be. They enlarge the set of feasible designs.

The honest answer, then, is that capitalism can change very far before it stops being capitalism. The name is less fragile than political rhetoric implies. But names eventually lose explanatory value. If ownership, allocation, and residual control all shift, insisting on the old label becomes semantic theater.

CHAPTER 15

What a Self-Limiting Capitalism Would Require

Not nicer capitalists. Institutions that remain effective when capitalists are not nice.

A self-limiting capitalism is not a society in which business leaders voluntarily subordinate profit to every social objective. That model depends on selecting unusually virtuous managers and hoping successors imitate them. It also gives private executives political discretion they were never elected to exercise. The more serious model is institutional: keep private initiative, but make some forms of predation difficult, visible, or unprofitable.

Several design principles recur across successful reform episodes. The first is counterpower. Workers, consumers, competitors, shareholders, creditors, regulators, courts, journalists, and civic organizations need independent capacity to challenge decisions. A system in which one actor supplies all information and controls all exit routes is not meaningfully self-correcting.

The second is contestability. Competition policy matters not because small firms are morally superior but because the credible threat of entry disciplines incumbents. Where natural monopoly, network effects, or infrastructure make entry unrealistic, the problem changes from preserving competition to governing market power openly rather than pretending competition exists.

The third is automatic adaptation. Rules that depend on repeated political fights to maintain their real value are vulnerable to drift. Indexation, periodic review, data-driven thresholds, and scheduled recalibration can reduce that vulnerability, though automatic rules can also propagate bad formulas if the metric is wrong.

The fourth is transparency with consequences. Disclosure that nobody can interpret is theater. Useful transparency allows another actor to challenge a decision, price a risk, enforce a rule, or organize a response. A thousand-page compliance document can increase formal transparency while reducing actual intelligibility.

The fifth is jurisdictional fit. If a corporation can move the relevant asset, profit, data, or production process faster than a regulator can act, national rules will be arbitraged. Some problems therefore require coordination among states or rules tied to market access rather than corporate residence. Other problems are better handled locally because knowledge and accountability are local. Scale should follow the externality, not ideological preference for centralization or decentralization.

The unavoidable trade-off

Every restraint creates its own failure mode. Strong licensing can block fraud and also protect incumbents. Employment protection can reduce arbitrary dismissal and also discourage hiring. Capital requirements can make banks safer and shift activity into less regulated shadow finance. Privacy rules can protect users and entrench firms large enough to absorb compliance costs. Antitrust can preserve competition and can also punish efficient scale if used badly.

A self-limiting system therefore cannot be defined by the quantity of regulation. It is defined by whether institutions can detect when a constraint is producing a new concentration of power and then revise the constraint. The regulator must itself be regulatable.

That sounds recursive because it is. There is no final guardian. Courts need review. Agencies need oversight. Legislatures need elections and procedural limits. Markets need competition. Unions need internal accountability. Auditors need independence. Experts need adversaries. A durable order is not one that finds the perfect ruler. It is one that assumes every center of power can become self-serving and gives another center enough leverage to expose it.

CHAPTER 16

A Test for Reformability

A system is reformable when losing a battle does not require losing the system.

The word 'reformable' is often used as an expression of hope. It can be made more precise. A system is internally reformable when serious changes in power and distribution can occur through recognized procedures without requiring the physical destruction of the institutional order.

That condition depends on several observable properties. Opposition must be legal enough to organize. Information about failure must circulate. Officeholders or rule-makers must be replaceable. Losers must retain enough rights and assets to continue participating after defeat. New organizations must be able to enter. Courts or equivalent institutions must be able to enforce at least some constraints against powerful actors. Fiscal and administrative capacity must be sufficient to implement new rules. The system must have mechanisms for experimentation and reversal when a reform fails.

The opposite configuration is brittle. If all significant wealth depends on political favor, losers fear expropriation and resist transition. If incumbents cannot safely lose office, every election becomes existential. If firms cannot fail, inefficiency accumulates. If dissenting organizations cannot form, errors remain private until they become crises. If every rule change threatens the entire constitutional order, ordinary adaptation becomes impossible.

This perspective explains why the same policy can have different effects in different states. A complex regulatory regime imposed on a high-capacity administration with independent courts may work tolerably. The same regime in a low-capacity state can become a market for bribes. A generous welfare commitment backed by a broad tax base may be sustainable. The same promise without fiscal capacity becomes arrears, inflation, or debt. Reform is not a text. It is a relationship between a rule and an institutional environment.

The six questions

A useful test asks six questions. Can an organized group challenge a powerful incumbent without being destroyed? Can information about the incumbent's failure reach decision makers? Can rules change without confiscating every legitimate expectation of the losing side? Can the new rule actually be enforced? Can its unintended effects be measured? Can the rule later be revised without reopening the entire constitutional conflict?

No real system answers all six perfectly. The test is diagnostic, not a scorecard. Its purpose is to distinguish a society with reform procedures from a society that merely talks about reform while every meaningful veto remains untouched.

Capitalism is highly reformable on some dimensions because ownership is decentralized, firms can fail, new firms can enter, and law can alter contracts without replacing all owners. It is less reformable when wealth becomes politically concentrated, market power eliminates entry, key assets become globally mobile, or public institutions lose the capacity to understand and enforce their own rules. Reformability is therefore not a permanent property of capitalism. Capitalism can consume the conditions that make its own reform possible.

Conclusion: Every Durable System Needs Organized Opposition

Can capitalism reform itself from within? Yes, but the phrase needs to be stripped of its comforting ambiguity. Capitalism does not sit down, recognize its excesses, and choose moderation. Reform occurs when actors inside the wider order acquire enough leverage to rewrite rules while keeping enough of the underlying order intact that the transition is not a revolution.

History supplies strong evidence. The United States restricted banking, strengthened labor rights, created social insurance, and set national labor standards without abolishing private enterprise. Sweden and Germany built different combinations of bargaining, social insurance, competition, worker representation, and private ownership. Britain repeatedly altered political representation through internal constitutional reform. China transformed enormous parts of its economic allocation system without surrendering the political core of one-party rule. The Soviet Union reminds us that reform can also unmake the system it was meant to save.

The deeper lesson is that a durable system does not eliminate conflict. It gives conflict institutional form. Competition opposes incumbency. Antitrust opposes monopoly. Labor organization opposes employer power. Courts oppose arbitrary government. Elections oppose permanent office. Journalism opposes secrecy. Audits oppose unverifiable claims. Bankruptcy opposes the immortality of failed firms. None of these mechanisms is pure. Each can be corrupted. Their value comes from preventing one logic from becoming total.

The real limits of capitalist self-reform appear where counterpower cannot form or cannot remain. Competitive pressure can punish unilateral restraint. Wealth can convert into political influence. Monopoly can remove market discipline. Mobile capital can arbitrage territorial rules. Future generations cannot bargain with the present. Regulators can be captured or simply outpaced. Successful reforms can erase the memory of the disaster that justified them.

This is why the fantasy of final reform is dangerous. There is no last law after which capitalism becomes safe, just as there is no final constitution after which political power stops trying to expand. Institutions decay. Technologies change. New forms of property appear. Old categories become loopholes. Every settlement creates actors who learn how to live inside it and eventually how to game it.

The practical standard is therefore not perfection. It is recoverability. When a market becomes concentrated, can entry or law restore contestability? When labor loses bargaining power, can organization reappear? When a regulator fails, can the failure be discovered and corrected? When wealth buys political access, can institutions separate money from rule-making power? When a reform creates new damage, can it be reversed without collapse?

A system that can answer those questions with credible mechanisms is not self-correcting in the automatic sense. It is self-correcting in the engineered sense. It has built opposition into itself.

That may be the most general principle in the book. A healthy system does not depend on good people remaining good. It assumes that power seeks advantage, that organizations defend themselves, that memory fades, that rules are gamed, and that every center eventually rationalizes its own importance. It survives by ensuring that no center is the only judge of its own behavior.

Capitalism can be reformed from inside. But only if 'inside' contains forces with the right to say no, the capacity to make no matter, and institutions strong enough to survive after everyone forgets why they were built.

Comparative Cases at a Glance

The table is not a ranking. It identifies what changed, what remained, and what the case contributes to the question of internal reform.

Case	Internal change	Core continuity	Lesson for reformability
Britain, 1832 onward	Repeated expansion of representation and later social legislation	Monarchy, Parliament, property, markets	Incremental change can alter power without a single revolutionary break.
United States, 1930s	Banking rules, labor rights, social insurance, wage-hour standards	Private ownership, firms, markets, constitutional order	A capitalist order can preserve itself by outlawing practices previously treated as ordinary market conduct.
Sweden, postwar	Central bargaining, solidaristic wages, active labor policy, welfare expansion	Private enterprise and market allocation	Strong labor institutions can coexist with competitive firms, but depend on institutional coordination.
West Germany, postwar	Social market economy, bargaining, social insurance, codetermination, competition policy	Private firms, markets, investment	Corporate governance and worker voice can differ substantially inside capitalism.
China, after 1978	Marketization, enterprise autonomy, multiple ownership forms, international integration	Communist Party political control and major state sector	A system can change economic mechanisms radically while retaining political core institutions.
Soviet Union, 1985-1991	Economic and political opening under perestroika and glasnost	Attempted preservation of a reformed union and party-led system	Reform can destabilize old coordination faster than a new equilibrium forms.

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